Chapter Seven

Industrial Policy of India: Private Sector Out and In Again

1947–1991: Industrial Policy 1.0

Government Takes Charge of Industry

Immediately after Independence, the government decided to take charge of India's industrialization. It decided to evict the private sector from many industrial sectors. Wherever it was not barred, the private sector was to be controlled.

The Industrial Policy Resolution, 1948, was the first policy resolution to enunciate this policy.

The resolution classified industries in four broad categories and paved the way for the government's exclusive or discretionary entry in all the segments.

First, government monopoly: the Policy Resolution laid down that the government would have exclusive monopoly of establishing industrial establishments in specified areas; arms and ammunition, atomic energy and railway transport were to be made the monopoly of the Central government.

Second, exclusive preserve for new investment: The Policy Resolution laid down that the government would be exclusively responsible for the establishment of new undertakings in six basic industries—coal, iron and steel, aircraft manufacture, shipbuilding, manufacture of telephone and telegraph wireless apparatus and mineral oils. It was left to the government to decide to provide some stake to the private sector if it found it necessary to secure the cooperation of private enterprise in the national interest.